BALANCE OF PAYMENTS, EXCHANGE RATES AND FOREX RESERVES

BOP ACCOUNTING SPINE → CURRENT-ACCOUNT MAP → CAPITAL-FINANCIAL FORK → CAD FINANCING IDENTITY → TRADE-DEFICIT OFFSETS → CURRENCY QUOTE BOARD

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

◆ PRIMARY CORE FLOW ○ SUBORDINATE EXTRA ◆ APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation g3 and all prior artifacts unchanged

00

STAGE 00 BOP ACCOUNTING SPINE

BOP ACCOUNTING SPINE · RESIDENT <-- NON-RESIDENT TRANSACTIONS · CURRENT + CAPITAL + FINANCIAL ACCOUNTS · DOUBLE ENTRY + ERRORS · RESERVE-ASSET CHANGE CLOSES RECORDED FINANCING · MUST REMEMBER · THE BALANCE OF PAYMENTS RECORDS RESIDENT–NON-RESIDENT TRANSACTIONS ACROSS

RESIDENT <-- NON-RESIDENT TRANSACTIONS → CURRENT + CAPITAL + FINANCIAL ACCOUNTS → DOUBLE ENTRY + ERRORS / OMISSIONS → RESERVE-ASSET CHANGE closes recorded financing → MUST REMEMBER: The balance of payments records resident–non-resident transactions across

CORE CLAIM
- RESIDENT <-- NON-RESIDENT TRANSACTIONS
- CURRENT + CAPITAL + FINANCIAL ACCOUNTS

MECHANISM
- DOUBLE ENTRY + ERRORS / OMISSIONS
- RESERVE-ASSET CHANGE closes recorded financing

CONSEQUENCE / LIMIT
- MUST REMEMBER: The balance of payments records resident–non-resident transactions across…
- RESIDENT <-- NON-RESIDENT TRANSACTIONS

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MUST REMEMBER: The balance of payments records resident–non-resident transactions across.

01

STAGE 01 CURRENT-ACCOUNT MAP

CURRENT-ACCOUNT MAP · PRIMARY INCOME · SECONDARY INCOME · PERSONAL REMITTANCES

PRIMARY INCOME

SECONDARY INCOME → personal remittances

CORE CLAIM
- PRIMARY INCOME
- SECONDARY INCOME → personal remittances

MECHANISM
- PRIMARY INCOME
- SECONDARY INCOME → personal remittances

CONSEQUENCE / LIMIT
- PRIMARY INCOME
- SECONDARY INCOME → personal remittances

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SERVICES; PRIMARY INCOME; SECONDARY INCOME → personal remittances.

02

STAGE 02 CAPITAL-FINANCIAL FORK

CAPITAL-FINANCIAL FORK · CAPITAL TRANSFERS · NON-PRODUCED NON-FINANCIAL ASSETS · FDI + PORTFOLIO + LOANS · DERIVATIVES + RESERVE ASSETS

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
CAPITAL → capital transfers	FINANCIAL → FDI + portfolio + loans	CAPITAL → capital transfers
CAPITAL → non-produced non-financial assets	FINANCIAL → derivatives + reserve assets	CAPITAL → non-produced non-financial assets

CORE CLAIM
- CAPITAL → capital transfers
- CAPITAL → non-produced non-financial assets

MECHANISM
- FINANCIAL → FDI + portfolio + loans
- FINANCIAL → derivatives + reserve assets

CONSEQUENCE / LIMIT
- CAPITAL → capital transfers
- CAPITAL → non-produced non-financial assets

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: FINANCIAL → FDI + portfolio + loans; FINANCIAL → derivatives + reserve assets.

03

STAGE 03 CAD FINANCING IDENTITY

CAD FINANCING IDENTITY · CURRENT-ACCOUNT DEFICIT · NET FINANCIAL INFLOWS · RESERVE USE · OMISSIONS; QUALITY MATTERS

CURRENT-ACCOUNT DEFICIT → NET FINANCIAL INFLOWS → OR → RESERVE USE → PLUS → ERRORS / OMISSIONS; quality matters

CORE CLAIM
- CURRENT-ACCOUNT DEFICIT
- NET FINANCIAL INFLOWS

MECHANISM
- OR → RESERVE USE
- PLUS → ERRORS / OMISSIONS; quality matters

CONSEQUENCE / LIMIT
- CURRENT-ACCOUNT DEFICIT
- NET FINANCIAL INFLOWS

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OR → RESERVE USE; PLUS → ERRORS / OMISSIONS; quality matters.

04

STAGE 04 TRADE-DEFICIT OFFSETS

TRADE-DEFICIT OFFSETS · MERCHANDISE DEFICIT · NET SERVICES · PRIMARY INCOME · SECONDARY INCOME · CURRENT ACCOUNT

CORE CLAIM
- MERCHANDISE DEFICIT
- NET SERVICES

MECHANISM
- PRIMARY INCOME
- SECONDARY INCOME → CURRENT ACCOUNT

CONSEQUENCE / LIMIT
- MERCHANDISE DEFICIT
- NET SERVICES

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: NET SERVICES; PRIMARY INCOME; SECONDARY INCOME → CURRENT ACCOUNT.

05

STAGE 05 CURRENCY QUOTE BOARD

CURRENCY QUOTE BOARD · RUPEES PER US DOLLAR · NUMBER RISES · DOLLAR COSTS MORE · ALWAYS STATE QUOTE BEFORE DIRECTION · CLOSE DISTINCTION · CURRENT-ACCOUNT DEFICIT IS NOT TRADE DEFICIT, BOP ACCOUNTING BALANCE

QUOTE → RUPEES PER US DOLLAR

NUMBER RISES → dollar costs more → RUPEE → DEPRECIATES → ALWAYS state quote before direction

CORE CLAIM
- QUOTE → RUPEES PER US DOLLAR
- NUMBER RISES → dollar costs more

MECHANISM
- RUPEE → DEPRECIATES
- ALWAYS state quote before direction

CONSEQUENCE / LIMIT
- CLOSE DISTINCTION: Current-account deficit is not trade deficit, BOP accounting balance…
- QUOTE → RUPEES PER US DOLLAR

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Current-account deficit is not trade deficit, BOP accounting balance.

06

STAGE 06 RATE-CHANGE VOCABULARY

RATE-CHANGE VOCABULARY · OFFICIAL PARITY · OBSERVED CURRENCY PRICE · RELATIVE-PRICE ADJUSTED

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
MARKET → depreciation / appreciation	NOMINAL → observed currency price	MARKET → depreciation / appreciation
OFFICIAL PARITY → devaluation / revaluation	REAL → relative-price adjusted	OFFICIAL PARITY → devaluation / revaluation

CORE CLAIM
- MARKET → depreciation / appreciation
- OFFICIAL PARITY → devaluation / revaluation

MECHANISM
- NOMINAL → observed currency price
- REAL → relative-price adjusted

CONSEQUENCE / LIMIT
- MARKET → depreciation / appreciation
- OFFICIAL PARITY → devaluation / revaluation

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: NOMINAL → observed currency price; REAL → relative-price adjusted.

07

STAGE 07 MANAGED-FLOAT RAIL

MANAGED-FLOAT RAIL · MARKET DEMAND + SUPPLY · RUPEE RATE MOVES · MAY SMOOTH EXCESSIVE VOLATILITY · NO DECLARED FIXED TARGET LEVEL

MARKET DEMAND + SUPPLY → RUPEE RATE MOVES → RBI → may smooth excessive volatility → NO DECLARED FIXED TARGET LEVEL

CORE CLAIM
- MARKET DEMAND + SUPPLY
- RUPEE RATE MOVES

MECHANISM
- RBI → may smooth excessive volatility
- NO DECLARED FIXED TARGET LEVEL

CONSEQUENCE / LIMIT
- MARKET DEMAND + SUPPLY
- RUPEE RATE MOVES

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RBI → may smooth excessive volatility; NO DECLARED FIXED TARGET LEVEL.

08

STAGE 08 INTERVENTION-LIQUIDITY MATRIX

INTERVENTION-LIQUIDITY MATRIX · RBI SELLS DOLLARS · RUPEES ABSORBED · RBI BUYS DOLLARS · RUPEES INJECTED · OFFSETS LIQUIDITY EFFECT · COSTS + UNDERLYING PRESSURE

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
RBI SELLS DOLLARS → rupees absorbed	STERILISATION → offsets liquidity effect	RBI SELLS DOLLARS → rupees absorbed
RBI BUYS DOLLARS → rupees injected	LIMIT → costs + underlying pressure	RBI BUYS DOLLARS → rupees injected

CORE CLAIM
- RBI SELLS DOLLARS → rupees absorbed
- RBI BUYS DOLLARS → rupees injected

MECHANISM
- STERILISATION → offsets liquidity effect
- LIMIT → costs + underlying pressure

CONSEQUENCE / LIMIT
- RBI SELLS DOLLARS → rupees absorbed
- RBI BUYS DOLLARS → rupees injected

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STERILISATION → offsets liquidity effect; LIMIT → costs + underlying pressure.

09

STAGE 09 NEER-REER LADDER

NEER-REER LADDER · BILATERAL RATE · TRADE-WEIGHTED NEER · RELATIVE-PRICE ADJUSTED REER · USE RBI CONVENTION + BASE + WEIGHTS

BILATERAL RATE

TRADE-WEIGHTED NEER → RELATIVE-PRICE ADJUSTED REER → INTERPRET → use RBI convention + base + weights

CORE CLAIM
- BILATERAL RATE
- TRADE-WEIGHTED NEER

MECHANISM
- RELATIVE-PRICE ADJUSTED REER
- INTERPRET → use RBI convention + base + weights

CONSEQUENCE / LIMIT
- BILATERAL RATE
- TRADE-WEIGHTED NEER

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: INTERPRET → use RBI convention + base + weights.

10

STAGE 10 RESERVE-ADEQUACY DASHBOARD

RESERVE-ADEQUACY DASHBOARD · IMPORT COVER · SHORT-TERM DEBT · BROAD MONEY · FINANCING NEED · MATURITY + CURRENCY + HEDGING + STRESS

IMPORT COVER

SHORT-TERM DEBT → BROAD MONEY / FINANCING NEED → MATURITY + CURRENCY + HEDGING + STRESS

CORE CLAIM
- IMPORT COVER
- SHORT-TERM DEBT

MECHANISM
- BROAD MONEY / FINANCING NEED
- MATURITY + CURRENCY + HEDGING + STRESS

CONSEQUENCE / LIMIT
- IMPORT COVER
- SHORT-TERM DEBT

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: BROAD MONEY / FINANCING NEED; MATURITY + CURRENCY + HEDGING + STRESS.

11

STAGE 11 EXTERNAL-SECTOR ANSWER SPINE

EXTERNAL-SECTOR ANSWER SPINE · CLASSIFY TRANSACTION BY ACCOUNT · STATE SIGN · STOCK-FLOW CONVENTION · TRACE FINANCING + INTERVENTION + LIQUIDITY · JUDGE RESILIENCE THROUGH COMPOSITION, NOT HEADLINE · EVIDENCE LIMIT · STATE PERIOD, CURRENCY/UNIT, STOCK OR FLOW

CLASSIFY transaction by account → STATE sign / quote / stock-flow convention → TRACE financing + intervention + liquidity → JUDGE resilience through composition, not headline → EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State period, currency/unit, stock or flow

CORE CLAIM
- CLASSIFY transaction by account
- STATE sign / quote / stock-flow convention

MECHANISM
- TRACE financing + intervention + liquidity
- JUDGE resilience through composition, not headline

CONSEQUENCE / LIMIT
- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State period, currency/unit, stock or flow…
- CLASSIFY transaction by account

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State period, currency/unit, stock or flow.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · BOP IS DOUBLE-ENTRY ACCOUNTING; STATISTICAL DISCREPANCIES REFLECT TIMING, VALUATION · FDI IS GENERALLY MORE STABLE AND CONTROL-LINKED THAN PORTFOLIO · STERILISED INTERVENTION OFFSETS THE DOMESTIC LIQUIDITY EFFECT OF FOREIGN-EXCHANGE · RESERVE ADEQUACY IS MULTIDIMENSIONAL · IMPORT COVER, SHORT-TERM DEBT, BROAD MONEY AND · THE IMPOSSIBLE TRINITY CONSTRAINS SIMULTANEOUS EXCHANGE-RATE FIXATION, MONETARY · EXTERNAL VULNERABILITY DEPENDS ON CURRENCY DENOMINATION, MATURITY, HEDGING, BORROWER

OPTIONAL SOURCE DEPTH
- CAUTION: BoP is double-entry accounting; statistical discrepancies reflect timing, valuation and
- CAUTION: FDI is generally more stable and control-linked than portfolio flows, though both can
- CAUTION: Sterilised intervention offsets the domestic liquidity effect of foreign-exchange
- CAUTION: Reserve adequacy is multidimensional: import cover, short-term debt, broad money and

ADVANCED DEBATE
- CAUTION: The impossible trinity constrains simultaneous exchange-rate fixation, monetary
- CAUTION: External vulnerability depends on currency denomination, maturity, hedging, borrower
- RBI: compiles BoP statistics; manages reserves and intervenes in foreign-exchange
- Ministry of Commerce and Industry: addresses merchandise and services trade policy

LEGACY / NUANCE
- Department of Economic Affairs: manages external borrowing policy and multilateral
- Authorised dealer banks: execute foreign-exchange transactions under FEMA and RBI
- CAUTION: A merchandise deficit can coexist with a modest CAD when services exports and
- CAUTION: An RBI dollar sale supplies foreign currency but absorbs rupee liquidity unless offset

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels